

ALITER CAPITAL II LP

Quarterly Report / 31 March 2025

STRICTLY PRIVATE AND CONFIDENTIAL

Notice to recipients

The information being provided herein is confidential and is intended to update you regarding recent developments with respect to Aliter Capital II LP (the “**Partnership**” or the “**Fund**”) and its investments and may not be reproduced or transmitted, in whole or in part, for any other purpose. No offer to sell securities is being made hereby, nor is any solicitation of an offer to buy securities. The information being provided does not purport to be complete. Certain information being provided constitutes material nonpublic information in respect of the Partnership and its investments and applicable securities laws will make it illegal for recipients to effectuate any transactions in securities or other financial interests on the basis of such information. Nothing contained herein should be deemed to be a prediction or projection of future performance of the Partnership or its investments.

The information contained herein is prepared by the Manager, Aliter Capital LLP (“**Aliter**”). Aliter is authorized and regulated by the Financial Conduct Authority.

Table of Contents

4	Letter to Partners
5	Section 1 - Fund Overview
6	Fund Overview
7	Investment Portfolio Profile
8	Portfolio Breakdown
9	Section 2 - Portfolio Company Profiles
10	MARCH
11	Athera
12	BBS Group
13	Concept / Jumar
14	ITM Communications
15	Section 3 - Interim Financial Statements
16	Unaudited Statement of Comprehensive Income
17	Unaudited Statement of Financial Position
18	Unaudited Statement of Cash Flows
19	Unaudited Statement of Changes in Partners' Capital
21	Unaudited Notes to the Financial Statements
28	Section 4 - Additional Information
29	Unaudited Monitoring fees

Letter to Partners

May 2025

Dear Partners

Enclosed is the report for the Fund for the quarter to 31 March 2025. No additional drawdowns were made during the period so at the end of the quarter the Fund deployment remains at the 2024 year end position of £74.6 million of capital committed, with a further £9.1 million of deferred consideration in the Fund. This means the total capital deployed and committed remains at 63% of the Fund as at 31 March 2025.

Over the last quarter we have reviewed in excess of 74 new opportunities, 14 of which represented potential platform opportunities for the Fund and 60 potential bolt-on opportunities. We continue to strengthen our pipeline of opportunities for the existing portfolio and following the formation of our fifth platform (BBS Law) we are no longer looking for new investments.

Following on from a very busy Q4 last year, no new acquisitions were concluded in the period, as Metatech (an add-on for Jumar/Concept funded without additional equity) fell into the start of Q2. Significant progress on new opportunities for bolt-ons within the BBS business has resulted in two deals at Heads of Terms in the period and we expect to report on further progress during Q2. Jumar/Concept continue to make good progress on potential bolt-ons with a number of live 'off-market' conversations in flight and ITM are beginning to tighten their strategic focus on opportunities to compliment the acquisition of Serbus from Q4 last year. We expect new deals in these portfolios to conclude during Q3 and Q4.

As noted in the 2024 annual accounts, the trading environment continues to be volatile reflecting domestic and global uncertainty, however the performance across the portfolio companies has generally been strong with all but Athera trading at or above budget.

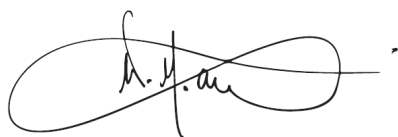
The steady progress witnessed across the operating entities within ITM during Q4 last year continued during Q1, with the business delivering an above budget performance in the period. This is expected to continue through Q2 and beyond, and we would anticipate positive momentum in the holding value as the year progresses.

Concept/Jumar failed to make the progress anticipated last year, to allow the carrying value to recover as was expected, however with a solid on budget Q1 performance, a strong pipeline and the completion of the Metatech acquisition at the beginning of April we are confident this will see a steady positive trend from Q2 onwards.

Athera continued to experience difficult trading conditions during Q1, and whilst slightly ahead of the adjusted EBITDA, it continues to fall behind at operating level, but with an emerging strong pipeline of organic opportunities we are hopeful this trend can reverse in the mid-term.

Q1 trading at BBS followed a similarly strong pattern to that enjoyed in Q4 last year with the business remaining above budget in the period. Significant progress is also being made on building the back office capability in anticipation of the acquisitions expected during Q2.

On behalf of the Aliter Team, thank you for your continued support.



For and on behalf of the GP of the Fund
Billy Allan
Director
Aliter Capital GP II LLP



Fund Overview

As at 31 March 2025

Overview

Full Name	Aliter Capital II LP	
Fund Currency	GBP	
First Closing Date	11 February 2022	
Final Closing Date	02 September 2022	
Term	Ten years with up to two consecutive one year extensions	
Investment Period	Five years	
GP Name	Aliter Capital GP II LLP	
Investments	GBP Total	% Total
Total Commitments	133,640,125	100.00%
Total Available Commitments *	58,905,331	44.08%
Fair value of net portfolio investments	53,552,581	40.07%
Total other assets and liabilities, net	(8,666,649)	(6.49%)
Total Net Asset Value	44,885,932	33.59%

* The available commitments above are consistent with the undrawn commitments of the Investors.

Gross IRR - 28.5%

Gross MoM - 0.98x

DPI - 0.66x

LP Net IRR - 16.7%

TVPI - 1.26x

RVPI - 0.60x

Fund Overview

As at 31 March 2025 (continued)

Investment Portfolio Profile

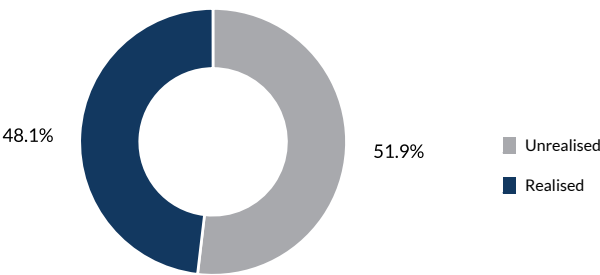
Realised Investments	Invest Date	Holding	Invested Capital (£'000)	Exit Date	Realised Proceeds (£'000)	Unrealised Proceeds (£'000)	Total (£'000)	Gross IRR	Gross Investment Multiple
MARCH	February 23	40.09%	18,000	October 24	49,715	-	49,715	80.1%	2.8x
Current Investments	Invest Date	Holding	Invested Capital (£'000)	Committed Capital (£'000)	Realised Proceeds (£'000)	Unrealised Proceeds (£'000)	Total (£'000)	Gross IRR	Gross Investment Multiple
Athera	March 22	89.63%	6,141	-	-	6,141	6,141	-	1.0x
BBS Group	October 24	72.72%	7,882	4,478	-	12,360	12,360	-	1.0x
Concept / Jumar	July 22	73.59%	16,429	-	-	13,276	13,276	(8.7%)	0.8x
ITM Communications	December 22	81.24%	15,421	4,430	-	21,776	21,776	11.1%	1.1x
Total Realised and current investments			63,873	8,908	49,715	53,553	103,268		

Fund Overview

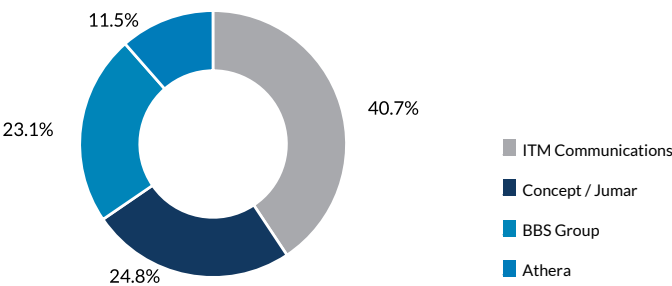
As at 31 March 2025 (continued)

Portfolio Breakdown

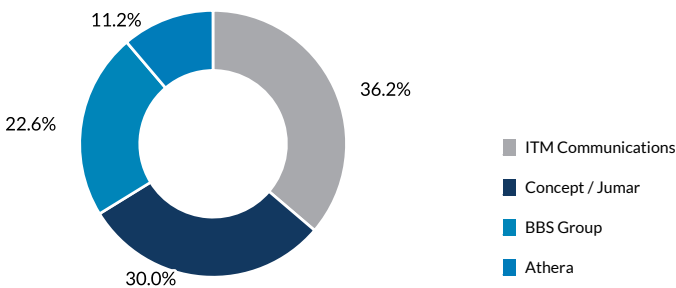
By Realised & Unrealised Investments



By Unrealised Valuation



By Unrealised Invested & Committed Capital





MARCH - Realised

Sector: Technical Services

(all amounts are in GBP '000s unless otherwise stated)



Initial Investment Date:	13 February 2023
Investment Type:	Common Equity
Fund Ownership Interest:	40.09%
Invested Capital	£18,000
Total Committed Capital	£18,000
Headquarters:	Glasgow, UK
Gross Investment Multiple:	2.8x
Gross IRR:	80.1%
Current Valuation:	£49,715
Status:	Realised
Realised Proceeds:	£49,715
Unrealised Proceeds:	-

Financial and Operational Update

£'000	(Entry) 28 Feb 2023	(Reported) 31 Dec 2024	LTM 30 Sep 2024
Revenue	177,376	195,039	203,573
Gross Profit	27,728	33,060	41,523
EBITDA	8,015	10,548	14,435
Adjusted EBITDA	12,182	14,607	16,627
Adjusted EBITDA Margin	6.9%	7.5%	8.2%
Gross Financial Debt	(40,287)	(44,737)	(49,771)
Net Cash/(Debt)	(35,609)	(36,753)	(59,592)
Net Leverage	2.9x	2.5x	3.6x

Business Overview

- MARCH Engineering ("MARCH" or the "Group") is Aliter's investment platform in the technical services space in the UK.
- MARCH self-delivers complete lifecycle asset engineering services focused on critical assets and complex facilities owned and operated by blue chip customers across a variety of non-cyclical sectors, including: Food & Beverage, Government & Education, Commercial, Defence & Nuclear, Industrial, Pharma and Utilities.
- Core service capabilities: Maintaining, planning, designing, installing and renewing technical service infrastructure, process control, automation, energy and energy efficiency solutions.

Value Creation

- Our strategy is to achieve a premium valuation supported by a strategy that would enhance the current profile of the business, focusing on earnings quality, growth and reducing pensions risk, ultimately improving its attractiveness to an ultimate buyer.
- Improve earnings quality / financial characteristics:
 - increased contribution from process services;
 - continued focus on moving away from work that is lower margin, in less attractive / more cyclical sectors;
 - increasing proportion of contracted and recurring revenue;
 - further cross-selling, creating a more entrenched position with its customers; and
 - more diversified end-market profile whilst maintaining a focus on critical assets.
- Increased focus on growth:
 - improving the group-wide business development function; and
 - accretive M&A.

Investment Update

- A formal sale process to explore the sale of March was launched in 2024, after an pre-emptive approach from EMK Capital. DC Advisory were appointed to support the shareholders and management team.
- On 30 October 2024, the Fund announced the sales of March to EMK Capital. The transaction completed with funds moving at the end of November 2024.
- The transaction structure represents an EV of £190m which is equivalent to 11.4x adjusted LTM EBITDA of £16.6m. This results in a gross investment multiple of 2.76x and Gross IRR of 80%.
- There is potential for earn-out and tax recovery payments to be made in 2026, no value has been attributed to these at the date of the report but the valuation may be updated once we have greater visibility of potential payments.
- Valuation metrics have been updated to reflect the terms of the completed deal.



Initial Investment Date:	1 March 2022
Investment Type:	Common Equity
Fund Ownership Interest:	89.63%
Invested Capital	£6,141
Total Committed Capital	£6,141
Headquarters:	Fife, UK
Gross Investment Multiple:	1.0x
Gross IRR:	-
Current Valuation:	£6,141
Status:	Unrealised
Realised Proceeds:	-
Unrealised Proceeds:	£6,141

Financial and Operational Update

£'000	(Entry) 31 Mar 2022	(Reported) 31 Dec 2024	LTM 31 Mar 2025	Q1 2025 (Actual)	Q1 2025 (Budget)
Revenue	595	3,598	3,512	881	883
Gross Profit	561	3,110	3,013	760	787
EBITDA	229	(12)	(229)	27	142
Adjusted EBITDA	362	857	704	206	142
Adjusted EBITDA Margin	61.0%	23.8%	20.0%	23.4%	16.1%
Gross Financial Debt	(1,019)	(1,848)	(1,796)	(1,796)	(1,798)
Net Cash/(Debt)	465	(1,078)	(1,126)	(1,126)	(222)
Net Leverage	n/m	1.3x	1.6x	n/m	n/m

- Gross profit was slightly behind budget for Q3 2024 (£0.7m) due to lower consultancy fees during the period.
- Exceptional costs largely related to consultancy fees incurred on the technical development work, one-off restructuring costs and one-off professional fees.
- Gross debt of approximately £1.8m relates to third party debt from Triple Point, and net debt is budgeted level primarily due to a delay in the HSE payment (still to be received at March 2025 but expected in Q2 2025).

Business Overview

- Athera Healthcare Group Ltd ("Athera Group") is the holding company for Aliter's investments into the Healthcare Analytics sector. The Group has completed three acquisitions since inception:
- Net Solving Ltd ("Net Solving"), which provides web-based data collection systems for clinical audits, patient registries and quality improvement programmes. Net Solving typically works with Royal Colleges, academic institutions and charities; and
- Fingerprint Global Ltd ("Fingerprint"), a provider of specialist audit and lifecycle tracking 'Track & Trace' solutions related to the sterilisation and decontamination of surgical instruments within clinical environments. The customers are mainly NHS Trusts and hospital sites in the UK and the HSE in Ireland.
- Newgate Technology Limited ("Newgate"), a provider of both software and hardware services to the healthcare industry, particularly theatre systems and sterile services track and trac solutions.

Value Creation

- Integrate and professionalise 3-4 highly correlated assets into a single platform with a deep service offering focused on clinical audit, patient feedback and patient outcomes.
- Accelerate organic growth through increased business development resource spend across platform, seeking cross-selling opportunities where possible.
- Embed best-in-class systems, processes to support scalability and professionalise.
- Create single unified brand with universal recognition across customers, policy makers and M&A community.

Investment Update

- Adjusted EBITDA during the period was ahead of budget for the quarter. Revenue was slightly behind due to less consultancy work for the Insights business and this has been reflected in the budget for FY25 (however Fingerprint continues to trend positively).
- The Group is currently negotiating a long term framework agreement with the HSE, which would be a 3.5 year extension and include a price uplift from existing levels and further upside from associated projects.
- An external consultant has completed their review of the product technology and developed a roadmap in the Group. The implementation of the roadmap is due to begin in Q2/Q3 2025, to position the business for exit in the next 12-18 months.

Outlook

- The Group have a number of organic opportunities (particularly in Ireland) and several key strategic and integration initiatives are in the process of being implemented, or completed, across the business with a view to readying for a potential exit within 12 to 18 months.

BBS Group

Sector: Legal Services

(all amounts are in GBP '000s unless otherwise stated)



Initial Investment Date:	29 October 2024
Investment Type:	Common Equity, Deferred Consideration
Fund Ownership Interest:	72.72%
Invested Capital	£7,882
Total Committed Capital	£12,360
Headquarters:	Manchester, UK
Gross Investment Multiple:	1.0x
Gross IRR:	-
Current Valuation:	£12,360
Status:	Unrealised
Realised Proceeds:	-
Unrealised Proceeds:	£12,360

Financial and Operational Update

£'000	(Entry) 31 Oct 2024	(Reported) 31 Dec 2024	LTM 31 Mar 2025	Q1 2025 (Actual)	Q1 2025 (Budget)
Revenue	9,803	11,254	11,466	2,927	2,660
Gross Profit	6,533	7,498	6,565	1,101	1,677
EBITDA	3,753	4,678	4,332	1,122	1,023
Adjusted EBITDA	4,010	4,473	4,301	1,228	1,023
Adjusted EBITDA Margin	40.9%	39.7%	37.5%	41.9%	38.5%
Gross Financial Debt	(11,029)	(11,029)	(10,635)	(10,635)	(10,000)
Net Cash/(Debt)	(10,012)	(7,721)	(6,749)	(6,749)	(5,466)
Net Leverage	2.7x	1.7x	1.6x	n/m	n/m

- Revenue and EBITDA are ahead of budget, with Management confident of maintaining the momentum from a strong financial year performance for calendar year 2025.
- Net debt of (£6,749k) at 31-Mar-25, is slightly behind budget, primarily due to the budget not including early investments made by Aliter. The Group's cash position of £3.2m ensures there is sufficient cash to fund working capital.

Business Overview

- Defender TopCo Limited (BBS Group), incorporated in October 2024, is the holding company for Aliter's investment in the legal services sector.
- Aliter is focused on developing a market leading, differentiated legal services group with a full range of services and client base that is focused on a dynamic customer base, including SMEs, entrepreneurs and HNWs based in key UK regions.
- BBS Law is a commercial law firm with offices in Manchester and London, that offers services including corporate, commercial, property, secured lending, private client, employment and HR, litigation, and family law. It focuses on customers that include SMEs, entrepreneurs and HNW individuals.

Value Creation

- Growth of the platform will be driven through bolt-on acquisitions and organically with the central strategy as follows:
 - Build a strong base of ambitious, high-growth clients with significant annual legal expenditure.
 - Build out a full service offer through M&A. Targeting IP, tax, banking and insolvency.
 - Build a strong UK footprint, through complementary acquisition in the major UK regional hubs (London, Manchester, Birmingham, Bristol, Glasgow and Edinburgh being the key UK entrepreneurial hot spots.
 - Develop a clear and strong brand as the law firm for established, dynamic UK businesses (established firms, not start ups).

Investment Update

- BBS Group's business plan is currently being developed and the process of identifying target markets, sectors and services is already underway. PwC have completed their commercial due diligence exercise and the findings of this have been fed into the strategic plan.
- Key management appointments have been made in Q1, including an interim Finance Director and IT network and security manager.
- Further potential bolt-on opportunities are in the process of being identified and are being reviewed by Aliter, third party advisers and the management team.
- The 100 day plan is largely complete, with the management team implementing a large proportion of the activities and recommendations identified during due diligence and post-deal review.

Outlook

- The Group is performing in line with its budget, and the forecast for 2025 continues to be encouraging. Strong levels of organic opportunities for the business are being seen particularly in the property, corporate and private client teams.
- The search for a senior marketing, HR and M&A resources are currently being prioritised for Q2 2025, further senior appointments will be considered once additional bolt-on acquisitions have been made.
- Strong levels of M&A activity are being observed within the UK legal services market, with interest from both PE and trade, supporting robust future exit options.

Concept / Jumar

Sector: Resourcing

(all amounts are in GBP '000s unless otherwise stated)



Initial Investment Date:	28 July 2022
Investment Type:	Common Equity
Fund Ownership Interest:	73.59%
Invested Capital	£16,429
Total Committed Capital	£16,429
Headquarters:	Dudley, West Midlands
Gross Investment Multiple:	0.8x
Gross IRR:	(8.7%)
Current Valuation:	£13,276
Status:	Unrealised
Realised Proceeds:	-
Unrealised Proceeds:	£13,276

Financial and Operational Update

£'000	(Entry) 30 Jun 2022	(Reported) 31 Dec 2024	LTM 31 Mar 2025	Q1 2025 (Actual)	Q1 2025 (Budget)
Revenue	28,132	60,195	59,136	15,270	16,530
Net fee income	7,244	23,952	24,182	6,520	6,728
Gross Profit	3,898	5,430	5,308	1,512	1,547
EBITDA	2,245	1,796	1,504	526	571
Adjusted EBITDA	2,439	2,545	2,528	986	649
Adjusted EBITDA Margin	33.7%	10.6%	10.5%	15.1%	9.6%
Gross Financial Debt	(417)	(8,000)	(8,000)	(8,000)	(8,000)
Net Cash/(Debt)	961	(3,252)	(3,076)	(3,076)	(1,542)
Net Leverage	(0.4x)	1.8x	2.0x	n/m	n/m

- The Group was slightly behind budgeted revenue but ahead of adjusted EBITDA for Q1 2025. This was driven by the performance of the Technology team, but resourcing continued to be behind budget for the period.
- Net debt of £3.1m as at 31 March 2025, includes gross financial debt of £8m and a cash balance of £4.9m, with the business continuing to generate robust cashflows during Q1 2025.

Business Overview

- Vesper HoldCo Limited (Vesper), incorporated in July 2022, is the holding company for Aliter’s investments into the digital transformation solutions and resourcing services sector.
- The strategy is to build a leading UK tech talent and digital solutions group, with selective international coverage and a diversified blue-chip customer base.
- Vesper has completed two transactions: (i) Concept Resourcing ("Concept"), acquired in July 2022; and (ii) Jumar Holdings Limited ("Jumar"), in September 2023, both of which provide technology staffing solutions and digital transformation project delivery services to a blue chip customer base.

Value Creation

- Aliter is focused on developing a consulting, development and resourcing provider, supporting a SME customer base on their technology challenges.
- Growth of the platform will be driven organically and through acquisitions with the central strategy as follows:
 - Develop a platform with a broad service offering across consulting, development and resourcing solutions;
 - Invest in building strong leadership and organisational capabilities to improve sales capability, marketing, and back-office systems to support future growth; and
 - Be known as a legacy modernisation expert, with solutions and services that are tailored to support both private and public sector clients with their technology challenges.

Investment Update

- The quarterly performance was in line with budget, despite the continued sluggish performance of the resourcing business which continues to be behind budget (in line with industry levels). The Tech division was ahead of budget in the quarter, with further positive momentum in the pipeline for the remainder of 2025.
- The brand launch is due to happen in mid-May with UK and EU trademarks now approved. Strategic planning is largely complete and the ongoing reorganisation of the resourcing division is now largely complete.
- The search for a CFO began in Q1 2025, in order to complete the key appointments in the senior management team (ahead of the acquisition of Project Monaco which completed in April 2025).

Outlook

- Pipeline and orderbook continue to be encouraging with the Tech team seeing the highest levels of pipeline coverage for Q2 since we owned the business. Noted several opportunities with Capgemini, NFY Mutual and the CA Gen portfolio (particularly with Project Monaco completing in April 2025).
- Management has narrowed down the bolt-on opportunities to the strategic plan (with targets primarily offering AWS, data or cyber solutions which would complement the existing Group offerings). Project Monaco was in advanced negotiations (with the deal completing in April 2025).

ITM Communications

Sector: Network Infrastructure

(all amounts are in GBP '000s unless otherwise stated)

Initial Investment Date:	28 December 2022
Investment Type:	Common Equity, Deferred Consideration
Fund Ownership Interest:	81.24%
Invested Capital	£15,422
Total Committed Capital	£19,852
Headquarters:	Milton Keynes, UK
Gross Investment Multiple:	1.1x
Gross IRR:	11.1%
Current Valuation:	£21,776
Status:	Unrealised
Realised Proceeds:	-
Unrealised Proceeds:	£21,776

Financial and Operational Update

£'000	(Entry) 28 Dec 2022	(Reported) 31 Dec 2024	LTM 31 Mar 2025	Q1 2025 (Actual)	Q1 2025 (Budget)
Revenue	15,058	31,092	32,432	9,450	8,804
Gross Profit	3,590	10,382	10,479	3,163	3,035
EBITDA	1,722	4,261	3,820	787	1,313
Adjusted EBITDA	1,352	4,560	4,762	1,491	1,313
Adjusted EBITDA Margin	9.0%	14.7%	14.7%	15.8%	14.9%
Gross Financial Debt	(4,000)	(12,297)	(12,232)	(12,232)	(12,111)
Net Cash/(Debt)	(2,346)	(7,394)	(8,051)	(8,051)	(9,146)
Net Leverage	1.4x	1.7x	2.1x	n/m	n/m

- Both Revenue and EBITDA were ahead of budget for the quarter, maintaining the momentum from the previous quarter.
- Exceptional items primarily related to professional fees in relation to strategy advice and the re-branding exercise.
- Strong working capital management has resulted in cash being ahead of budget for the period, which has resulted in net debt being lower than budgeted levels.



Business Overview

- Spectre TopCo Limited (Spectre), is the holding company for Aliter's investment into the UK network connectivity and wider IT Managed Services sectors.
- Aliter is focused on development of a market leading Group which has a solution-based, end-to-end offering across UK network infrastructure services, serving both enterprise and public sector clients. The Group has completed two acquisitions since inception:
- ITM which offers solutions and services that supports UK critical network infrastructure. ITM has a blue-chip customer base through strategic partnerships with both private and public sector customers.
- Bates IT ("Bates") delivers a wide range of ICT managed and support services to critical UK ICT infrastructure, with a core focus on customers in the private and public healthcare sector.

Value Creation

- Aliter is focused on developing a group of network infrastructure businesses, with a diversified blue-chip customer base.
- Growth of the platform will be driven organically and through acquisitions with the central strategy as follows:
 - Assemble a SMT to support an expansionary buy and build strategy;
 - Develop a platform with a broad service offering, improving sales capability, marketing, and systems;
 - Grow from a regional network infrastructure provider to a UK wide smart integrated solutions provider; and
 - Operate across range of sectors and end-markets, with potential expansion into areas such as IoT and equipment roll outs.

Investment Update

- The Group has continued its momentum from Q4 2024 into the new year, and is currently ahead of plan and trending towards £5m LTM EBITDA by the end of the financial year. Continued momentum across the whole customer base and their has been continued focus on earnings quality within each business unit leading to improved margins.
- ITM has had its Home Office contract extended for a further year (from November 2025), there is also momentum in the Sussex contract for the Bates business with a £1.1m order in Q1 2025.
- Project Ghost (Serbus) 100 Day plan was completed in the quarter. The senior management team has begun working on the wider strategic plan for the Group and this is likely to be finalised during Q2 2025.

Outlook

- Gross margins have continued to improve with increased governance and controls around projects having now been implemented. Similar processes have now been implemented in Bates IT and Serbus as part of the 100 Day Plan.
- The Group completed its work with Analysys Mason, and work is now ongoing in relation to the Group strategic plan. The strategic work has allowed the potential bolt-on opportunities list to be streamlined and there are several live conversations being held with potential vendors.
- Management are currently undergoing several integration work streams, across key value creation areas such as finance, HR and marketing. The Group re-branding exercise is ongoing and customers and employees are currently being engaged with a new brand launch expected later in 2025.



Unaudited Statement of Comprehensive Income

For the period ended 31 March 2025

	Note	1 Jan 25 to 31 Mar 25 £	1 Jan 24 to 31 Dec 24 £
Income			
Net realised gain on investments at fair value		191,245	31,523,690
Net unrealised gain on investments at fair value		-	(5,504,539)
Investment Income		-	-
Interest income		-	-
		191,245	26,019,151
Expenses			
Establishment Costs		-	-
Administration expenses		(28,996)	(112,754)
Legal and professional expenses		(480)	-
Audit expenses		(16,501)	(65,999)
Regulatory expenses		(4,307)	(9,075)
Annual general meeting expenses		(3,328)	(13,310)
Loan arrangement fee		-	(63,000)
Loan interest expense		-	(292,030)
Non-utilisation fee		(15,534)	(52,254)
General expenses		(7,163)	(30,335)
Bank charges		(146)	(1,293)
Tax advisory expenses		(1,391)	(5,684)
Total expenses		(77,846)	(645,734)
Profit / (Loss) for the period before General Partner's Share		113,399	25,373,417
General Partner's Share	3	(668,200)	(2,672,800)
Profit / (Loss) for the period after General Partner's Share		(554,801)	22,700,617

The notes on pages 21 to 27 form an integral part of these unaudited financial statements.

Unaudited Statement of Financial Position

As at 31 March 2025

	Note	As at 31 Mar 25 £	As at 31 Dec 24 £
Fixed assets			
Investments at fair value through profit or loss			
(cost: £54,781,575) (2024: £54,781,575)	13	53,552,581	53,552,581
Current assets			
Receivables	9	6,035	6,035
Cash and cash equivalents	10	332,387	893,360
Current liabilities			
Deferred consideration due for acquisitions	11	(8,908,196)	(8,908,196)
Consideration due for acquisitions	11	(127)	(127)
Payables and accrued expenses	11	(96,747)	(102,920)
Net current assets/(liabilities)		(8,666,648)	(8,111,848)
Total net assets attributable to the Partners		44,885,932	45,440,733
Partners' accounts			
Capital Contributions	6	74,734,794	74,734,794
Capital and income distribution	7	(49,523,690)	(49,523,690)
Net income account		28,057,026	27,943,627
General Partner's Share	3	(8,382,198)	(7,713,998)
		44,885,932	45,440,733

Unaudited Statement of Cash Flows

For the period from 1 January 2025 to 31 March 2025

	Note	1 Jan 25 to 31 Mar 25 £	1 Jan 24 to 31 Dec 24 £
Cash flows generated from/(used in) operating activities			
Profit / (Loss) for the period after General Partner's Share		(554,800)	22,700,618
Adjustment of unrealised loss/(gain) on investments at fair value		-	5,504,539
Adjustment of realised loss/(gain) on investments at fair value		(191,245)	(31,523,690)
Working capital adjustments:			
(Decrease)/increase in receivables	9	-	(5,910)
(Decrease)/increase in payables and accrued expenses	11	(6,172)	5,749
Net cash flows generated from/(used in) operating activities		(752,218)	(3,318,695)
Cash flows generated from/(used in) investing activities			
Purchase of investments	13	-	(19,979,812)
Disposal of investments	-	191,245	49,523,690
(Decrease)/increase in deferred consideration due for acquisitions		-	40
(Decrease)/increase in consideration due for acquisitions		-	-
Net cash flows generated from/(used in) investing activities		191,245	29,543,918
Cash flows generated from/(used in) financing activities			
Receipt of contributions	6	-	23,808,427
(Repayment)/Receipt of short-term borrowings		-	-
Payment of distributions to Limited Partners		-	(49,523,690)
Net cash flows generated from/(used in) financing activities		-	(25,715,263)
Net increase/(decrease) in cash and cash equivalents		(560,973)	509,960
Cash and cash equivalents at the beginning of the period/year		893,360	383,400
Cash and cash equivalents at the end of the period/year	10	332,387	893,360

The notes on pages 21 to 27 form an integral part of these unaudited financial statements.

Unaudited Statement of Changes in Partners' Capital (Detail)

For the period from 1 January 2025 to 31 March 2025

Changes in Capital Account Balance

	Beginning balance 1 January 2025 £	Contributions £	Distributions £	Investment income £	Other income £	Other expenses £	Realised gains/(losses) on investment £	Unrealised gains/(losses) on investment £	General Partner's Share £	Balance before Adjustment of Carried Interest £	Adjustment of Carried Interest £	Ending balance 31 March 2025 £
Limited Partners												
Aliter Capital Co-Invest II, LP	2,597,771	-	-	-	-	(4,450)	10,933	-	(38,200)	2,566,054	-	2,566,054
Limited Partner #1	766,913	-	-	-	-	(1,314)	3,228	-	(11,277)	757,550	-	757,550
Limited Partner #2	834,793	-	-	-	-	(1,430)	3,513	-	(12,276)	824,600	-	824,600
Limited Partner #3	272,973	-	-	-	-	(468)	1,149	-	(4,014)	269,640	-	269,640
Limited Partner #4	170,690	-	-	-	-	(292)	718	-	(2,510)	168,606	-	168,606
Limited Partner #5	2,380,158	-	-	-	-	(4,078)	10,017	-	(35,000)	2,351,097	-	2,351,097
Limited Partner #6	510,034	-	-	-	-	(874)	2,147	-	(7,500)	503,807	-	503,807
Limited Partner #7	5,100,338	-	-	-	-	(8,738)	21,466	-	(75,000)	5,038,066	-	5,038,066
Limited Partner #8	1,275,083	-	-	-	-	(2,184)	5,366	-	(18,750)	1,259,515	-	1,259,515
Limited Partner #9	1,275,083	-	-	-	-	(2,184)	5,366	-	(18,750)	1,259,515	-	1,259,515
Limited Partner #10	4,250,281	-	-	-	-	(7,281)	17,888	-	(62,500)	4,198,388	-	4,198,388
Limited Partner #11	334,787	-	-	-	-	(574)	1,409	-	(4,923)	330,699	-	330,699
Limited Partner #12	11,900,793	-	-	-	-	(20,388)	50,088	-	(175,000)	11,755,493	-	11,755,493
Limited Partner #13	-	-	-	-	-	-	-	-	-	-	-	-
Limited Partner #14	1,781,476	-	-	-	-	(3,052)	7,498	-	(26,196)	1,759,726	-	1,759,726
Limited Partner #15	351,687	-	-	-	-	(602)	1,480	-	(5,172)	347,393	-	347,393
Limited Partner #16	649,086	-	-	-	-	(1,112)	2,732	-	(9,545)	641,161	-	641,161
Limited Partner #17	355,256	-	-	-	-	(609)	1,495	-	(5,224)	350,918	-	350,918
Limited Partner #18	432,731	-	-	-	-	(741)	1,821	-	(6,363)	427,448	-	427,448
Limited Partner #19	10,200,675	-	-	-	-	(17,475)	42,931	-	(150,000)	10,076,131	-	10,076,131
Total Limited Partners	45,440,608	-	-	-	-	(77,846)	191,245	-	(668,200)	44,885,807	-	44,885,807
Aliter Capital Carry II, LP	125	-	-	-	-	-	-	-	-	125	-	125
Total	45,440,733	-	-	-	-	(77,846)	191,245	-	(668,200)	44,885,932	-	44,885,932

The notes on page 21 to 27 form an integral part of these unaudited financial statements

Unaudited Statement of Changes in Partners' Capital (Detail)

For the period from 1 January 2025 to 31 March 2025 (continued)

Summary of Commitments and Performance

Limited Partners	Commitment £	Contributions to date £	Remaining Commitments £	Total distributed to date £	Total value/cumulative contributions £
Aliter Capital Co-Invest II, LP	7,640,000	4,272,470	3,367,530	2,831,196	1.26x
Limited Partner #1	2,255,480	1,261,318	994,162	835,825	1.26x
Limited Partner #2	2,455,108	1,372,955	1,082,153	909,803	1.26x
Limited Partner #3	802,810	448,950	353,860	297,502	1.26x
Limited Partner #4	501,999	280,730	221,269	186,028	1.26x
Limited Partner #5	7,000,000	3,914,567	3,085,433	2,594,027	1.26x
Limited Partner #6	1,500,000	838,836	661,164	555,863	1.26x
Limited Partner #7	15,000,000	8,388,357	6,611,643	5,558,630	1.26x
Limited Partner #8	3,750,000	2,097,089	1,652,911	1,389,658	1.26x
Limited Partner #9	3,750,000	2,097,089	1,652,911	1,389,658	1.26x
Limited Partner #10	12,500,000	6,990,298	5,509,702	4,632,192	1.26x
Limited Partner #11	984,603	550,613	433,990	364,870	1.26x
Limited Partner #12	35,000,000	19,572,832	15,427,168	12,970,137	1.26x
Limited Partner #13	-	-	-	-	-
Limited Partner #14	5,239,290	2,929,936	2,309,354	1,941,552	1.26x
Limited Partner #15	1,034,302	578,407	455,895	383,287	1.26x
Limited Partner #16	1,908,953	1,067,532	841,421	707,411	1.26x
Limited Partner #17	1,044,802	584,278	460,524	387,178	1.26x
Limited Partner #18	1,272,653	711,698	560,955	471,614	1.26x
Limited Partner #19	30,000,000	16,776,714	13,223,286	11,117,261	1.26x
Total Limited Partners	133,640,000	74,734,669	58,905,331	49,523,690	1.26x
Aliter Capital Carry II, LP	125	125	-	-	1.00x
Total	133,640,125	74,734,794	58,905,331	49,523,690	1.26x

The notes on page 21 to 27 form an integral part of these unaudited financial statements

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025

1. Aliter Capital II LP (the "Fund")

The Fund is an English Limited Partnership as constituted by its Amended and Restated Agreement of Limited Partnership (the "LPA") dated 11 February 2022, and was registered as such on 12 January 2022.

The Fund held its first close on 11 February 2022 (the "Initial Closing") with a Commitment of £56,000,000, subsequent commitments in quarter two and quarter three of 2022 amounting to £77,640,000, bring the total Commitment of the Fund to £133,640,000.

Any capitalised terms that are not defined in the Financial Statements are defined in the LPA.

2. Accounting Policies

These Financial Statements have been prepared under the historical cost convention (as modified by the revaluation of certain investments) and in accordance with the LPA. The audited financial statements, prepared in accordance with FRS 102, are made available to each Limited Partner within 90 days of 31 December (the "Fiscal Year").

The following are the material accounting policies which have been applied consistently throughout the period:

(a) Investments

Investments are stated at fair value as determined quarterly by Aliter Capital LLP (the "Manager") in accordance with International Private Equity and Venture Capital Valuation (IPEV) Guidelines, endorsed by the British Venture Capital Association.

In accordance with FRS 102, unrealised gains and losses arising on the revaluation of investments (including exchange gains and losses on unrealised investments denominated in a foreign currency) will be recognised in the Statement of Comprehensive Income.

Realised gains or losses on the disposal of investments shall be accounted for in the Statement of Comprehensive Income for the period in which the disposal occurs as the difference between the net sale proceeds and the net carrying amount.

Investment Proceeds from any Investment shall be apportioned initially to the Partners in proportion to their Sharing Percentages with respect to the applicable Investment, in accordance with section 7.1 of the LPA.

(b) Foreign currency transactions

The functional and reporting currency of the Fund is Pound Sterling. Investments are translated into the reporting currency at the date of the transaction. Foreign currency debtors and creditors are translated into the reporting currency at the rate of exchange at the Statement of Financial Position date. Transactions in foreign currencies have been translated at the rate of exchange ruling at the date of the transaction. Foreign exchange gains and losses, aside from those described above, are included in the Statement of Comprehensive Income.

(c) Income and expenditure recognition

Current income, which includes all interest, dividend and other income from securities held by the Fund in respect of its investment activities will be distributed within 90 days after receipt by the Partnership. Dividend income is accounted for on a receipts basis, net of irrecoverable tax credits and gross of applicable withholding tax. Cash interest income received from investments is accounted for on an accruals basis, gross of any applicable withholding tax. Interest income receivable from other investments is accounted for on a receipts basis; any accruals are dealt with in the revaluation of these investments.

Shareholder loan stock held by the Fund in private equity unlisted investments bears interest, but is typically subordinated to the secured bank lenders of the relevant investment. Income may only be received by the Fund if approved by such bank lenders and when certain conditions related to trading performance and/or banking covenants have been met, and therefore may be considered to be quasiequity in nature. Accordingly, the income on these instruments is recognised on a receipts basis.

Investment income is stated net of any provisions considered appropriate by the Manager, and will be distributed in accordance with sections 7.1 and 7.2 of the LPA.

In general, deal expenses incurred in relation to the acquisition of an investment are accounted for as an expense in the Statement of Comprehensive Income. Transfer costs together with any irrecoverable VAT and any stamp duty or taxes related to such acquisition are accounted for as a cost of investment and capitalised. Broken deal costs incurred in connection with proposed transactions which do not proceed to completion are accounted for as expenses once an obligation to pay these costs has arisen.

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

2. Accounting Policies (continued)

Other income and expenses are accounted for on an accruals basis.

(d) Going Concern

These Financial Statements of the Fund have been prepared on a going concern basis.

(e) Subsidiary and associate undertakings

The Financial Statements do not consolidate controlling interests in underlying investments.

(f) Taxation

No provision for income taxes is included in the accompanying Financial Statements since all income and losses are allocated to the Partners for inclusion in their respective tax returns.

(g) Contingent Assets

Contingent assets are disclosed where an inflow of economic benefits is probable.

3. General Partner's Share ("GPS")

The detailed provisions related to the GPS can be found in Section 7 of the LPA. In summary, the GPS shall be payable quarterly in advance commencing on the Initial Closing and on each January 1, April 1, July 1 and December 1 thereafter, and in respect of each quarterly period shall be an amount equal to 25% of:

- (i) through the earlier of (x) the last day of the Investment Period or (y) the date on which a Successor Pooled Investment Vehicle starts allocating a general partner's share or paying a management fee to the General Partner, the Principals or any of their respective Affiliates, 2.00% per annum of the Total Amount of Commitments; and
- (ii) Thereafter, 2.00% per annum of the Acquisition Cost of each Portfolio Investment (excluding, for the sake of clarity, the portion of the Acquisition Cost of Portfolio Investments that (x) has been written off or permanently written down by the General Partner or (y) was financed using borrowing by the Partnership and subsequently refinanced other than with the use of Loan Contributions), reduced by the aggregate amount of Acquisition Cost of Portfolio Investments that have been distributed in kind or which have been redeemed or the subject of a realisation (or the relevant proportion of the Acquisition Costs in respect of any Investments that have been the subject of a partial realisation) and the proceeds of which have been distributed to the Partnership.

Since inception, Partners have incurred £8,382,198 of GPS.

If there is insufficient Distributable Cash as of any Quarter Date to distribute the whole of the General Partner's Share, any deficiency shall be paid to the General Partner by way of an interest free loan.

4. Carried Interest

The detailed provisions relating to distributions made to the Carried Interest Partner can be found in section 7.1 of the LPA.

The Carried Interest Partner is Aliter Capital Carry LP (the "**Founder Partner**"). The Founder Partner is only entitled to Carried Interest after the Limited Partners' Commitments drawn down have been repaid together with the Preferred Return due. The Preferred Return is 8% per annum compounded annually on the Commitments drawn down, accruing from the date on which each Commitment was drawn down until repaid.

As at 31 March 2025, no Carried Interest was accrued.

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

5. Summary of Total Commitments Called

Commitment	31 Mar 25 £	31 Dec 24 £
Limited Partners	126,000,000	126,000,000
Team Co-Invest Vehicle	7,640,000	7,640,000
Founder Partner	125	125
All Partners	133,640,125	133,640,125

Called	31 Mar 25 £	31 Dec 24 £
Limited Partners	70,462,199	70,462,199
Team Co-Invest Vehicle	4,272,470	4,272,470
Founder Partner	125	125
All Partners	74,734,794	74,734,794

6. Partners' Capital Contributions

Capital Contributions have been made, by value date, as follows:

Since inception	Capital £	Total £
21 March 2022	2,250,000	2,250,000
24 June 2022	797,389	797,389
14 July 2022	125	125
27 July 2022	12,515,000	12,515,000
19 December 2022	1,703,564	1,703,564
At 31 December 2022	17,266,078	17,266,078
23 March 2023	26,332,749	26,332,749
10 October 2023	7,327,540	7,327,540
At 31 December 2023	50,926,367	50,926,367
25 January 2024	668,200	668,200
28 June 2024	3,586,312	3,586,312
28 September 2024	2,803,915	2,803,915
6 December 2024	16,750,000	16,750,000
At 31 December 2024	74,734,794	74,734,794
At 31 March 2025	74,734,794	74,734,794

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

7. Partners' Loan, Capital and Income distributions

The detailed provisions relating to distributions can be found in section 7 of the LPA.

Capital and Income distributions have been made, by value date, as follows:

	Capital Distribution £	Income Distribution £	Total £
Since inception			
6 December 2024	49,523,690	-	49,523,690
At 31 March 2025	49,523,690	-	49,523,690

8. Realisations

The following investments have been realised since inception:

	Cost £	Proceeds £	Gain £
MARCH	18,000,000	49,714,935	31,714,935
At 31 March 2025	18,000,000	49,714,935	31,714,935

9. Receivables

	31 Mar 25 £	31 Dec 24 £
Amount due from Founder Partner	125	125
Amount due from Limited Partners	5,910	5,910
Amount due from Investments	-	-
	6,035	6,035

10. Cash and cash equivalents

	31 Mar 25 £	31 Dec 24 £
Cash at bank and in hand	332,387	893,360

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

11. Creditors: Amounts falling due within one year

Payable to Investments	31 Mar 25 £	31 Dec 24 £
Deferred consideration due for acquisitions	(8,908,196)	(8,908,196)
Consideration due for acquisitions	(127)	(127)
	(8,908,323)	(8,908,323)

Payables and accrued expenses	31 Mar 25 £	31 Dec 24 £
Audit expenses	49,500	70,170
Regulatory expenses	10,733	8,586
Disbursement	13	-
Annual general meeting	3,328	-
expenses General expenses	9,397	16,376
Tax advisory expenses	5,562	-
Non-utilisation Fee	15,534	7,787
AML Fee	2,160	-
Administration expenses	521	-
	96,747	102,920

12. Related Party Transactions

The General Partner receives a General Partner's Share, as set out and defined in Note 3. For the period from 1 January 2025 to 31 March 2025 £668,800 (2024: £2,672,800) has been incurred in respect of GPS.

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

13. Schedule of Investments

Portfolio Investment and Instrument	Cost b/f as at 1 Jan 25	Acquisition / disposal cost period to date	Revaluation	Unrealised value as at 31 Mar 25
	£	£	£	£
Athera				
- Ordinary Shares	6,141,152	-	-	6,141,152
	6,141,152	-	-	6,141,152
BBS Group				
- Ordinary Shares	7,881,900	-	-	7,881,900
- Deferred Consideration	4,478,000	-	-	4,478,000
	12,359,900	-	-	12,359,900
Concept / Jumar				
- Ordinary Shares	16,429,000	-	(3,153,457)	13,275,543
	16,429,000	-	(3,153,457)	13,275,543
ITM Communications				
- Ordinary Shares	15,421,326	-	1,924,464	17,345,790
- Deferred Consideration	4,430,196	-	-	4,430,196
	19,851,522	-	1,924,464	21,775,986
	54,781,574	-	(1,228,993)	53,552,581

Unaudited Notes to the Financial Statements

For the period from 1 January 2025 to 31 March 2025 (continued)

13. Schedule of Investments

Portfolio Investment and Instrument	Cost b/f as at 1 Jan 24	Acquisition / disposal cost period to date	Revaluation	Unrealised value as at 31 Dec 24
	£	£	£	£
Athera				
- Ordinary Shares	4,220,066	1,921,086	-	6,141,152
	4,220,066	1,921,086	-	6,141,152
BBS Group				
- Ordinary Shares	-	7,881,900	-	7,881,900
- Deferred Consideration	-	4,478,000	-	4,478,000
	-	12,359,900	-	12,359,900
Concept / Jumar				
- Ordinary Shares	16,429,000	-	(3,153,457)	13,275,543
	16,429,000	-	(3,153,457)	13,275,543
ITM Communications				
- Ordinary Shares	5,244,500	10,176,826	1,924,464	17,345,790
- Deferred Consideration	-	4,430,196	-	4,430,196
	5,244,500	14,607,022	1,924,464	21,775,986
MARCH				
- Ordinary Shares	18,000,000	(18,000,000)	-	-
	18,000,000	(18,000,000)	-	-
	43,893,566	10,888,008	(1,228,993)	53,552,581



Unaudited Monitoring fees

A summary of monitoring fees paid by the portfolio companies in the quarter is summarised below.

Portfolio Company Monitoring Fees Paid	Q1 2025 £	YTD 2025 £
Athera	-	-
BBS Group	60,000	60,000
Concept / Jumar	60,000	60,000
ITM Communications	60,000	60,000
Total	180,000	180,000

Disclaimer

This Report has been prepared by AssetMetrix GmbH based in Munich, Germany (**AssetMetrix**) for Aliter (**Client**). It may contain confidential and legally protected data and information. Therefore, this report and its content are to be treated as strictly confidential.

This report and its content are destined only for the purpose of informing the intended recipient. It may not be reproduced or provided beyond this purpose. Furthermore, the report may not be altered or modified without the prior written consent of AssetMetrix.

AssetMetrix has prepared this report based on data and information, which have been provided by the client, derived from public sources, or obtained from specialized data providers. AssetMetrix reviews this data and information and aims to improve their quality by performing plausibility checks. However, AssetMetrix also reserves the right to use them without proper examination. Consequently, AssetMetrix does not assume any liability whatsoever for the completeness and accuracy of the data and information contained in this report; the same applies for the client.

AssetMetrix has prepared this report also by using specifically developed mathematical, analytical, and statistical models. AssetMetrix does not assume any liability whatsoever for the completeness and accuracy of these models.

Neither AssetMetrix nor the client shall be liable for any losses, damages, or consequential damages arising in connection with the recipient making decisions based on the information and data included herein. The recipient may not rely on any of the data and information included in this report and shall not claim any such reliance. This report and any information contained herein do not constitute investment, legal, business, or tax advice of any kind and may not be construed as any legally binding instrument or basis for any reliance.

Finally, this report may contain forecasts, plans, and forward-looking statements. Those forecasts, plans, and forward-looking statements are based on the knowledge and information available at the time that this report was prepared. As is true of all forward-looking statements, these statements are subject to risk and uncertainty. As a result, the actual events may deviate significantly from these expectations. Neither AssetMetrix nor the client assume any liability whatsoever for the accuracy or completeness of projections or for the achievement of planned targets or for any other forward-looking statements.



This report was created by

